It’s hard for a policymaker to predict an outright recession, because a recession will make their careers complicated. So even worst-case projections rarely expect anything worse than just “slow-ish” growth. It’s an appealing fiction, and it’s easy to believe because expecting anything worse is too painful to consider.

Policymakers are easy targets for criticism, but all of us do this to some extent. And we do it in both directions. If you think a recession is coming and you cash out your stocks in anticipation, your view of the economy is suddenly going to be warped by what you want to happen. Every blip, every anecdote, will look like a sign that doom has arrived—maybe not because it has, but because you want it to.

Incentives are a powerful motivator, and we should always remember how they influence our own financial goals and outlooks. It can’t be overstated: there is no greater force in finance than room for error, and the higher the stakes, the wider it should be.

2. Everyone has an incomplete view of the world. But we form a complete narrative to fill in the gaps.

My daughter is about a year old as I write this. She’s curious about everything and learns so fast.

But sometimes I think about all the stuff she can’t comprehend.

She has no idea why her dad goes to work every morning.

The concept of bills, budgets, careers, promotions, and saving for retirement are completely foreign to her.

Imagine trying to explain the Federal Reserve, credit derivatives, or NAFTA to her. Impossible.

But her world isn’t dark. She does not wander around in confusion.

Even at a year old, she’s written her own internal narrative of how everything works. Blankets keep you warm, mom snuggles keep you safe, and dates taste good.

Everything she comes across fits into one of a few dozen mental models she’s learned. When I go to work she doesn’t stop in confusion, wondering what salary and bills are. She has a crystal clear explanation of the